

33. CAPITAL POLICY

Our policy is to maintain adequate capital to support the Bank's activities, meet the needs of its clients and ensure the confidence of clients, employees, shareholders and regulators. It is also our policy to maintain an excellent relationship with its shareholders and to maximize shareholder returns while maintaining appropriate levels of capital.

33.1 GENERAL

Banks are subject to various regulatory capital requirements administered by state and federal banking agencies. Capital adequacy guidelines and prompt corrective action regulations involve quantitative measures of assets, liabilities, and certain off-balance sheet items calculated under regulatory accounting practices. Capital amounts and classifications are also subject to qualitative judgments by regulators about components, risk weighting and other factors. Quantitative measures established by regulators to ensure capital adequacy require maintaining minimum amounts and ratios of Total and Tier 1 Capital to Average or Risk-Weighted Assets as defined by regulation.

The Bank's Tier 1 Capital consists of shareholders' equity, excluding any unrealized gains or losses on securities available for sale. Total Capital is Tier 1 Capital plus the permissible portion of allowance for loan losses. For these ratios, Average Assets are calculated as total Average Assets, adjusted to exclude goodwill and other intangible assets. Risk-Weighted Assets, as calculated based on regulatory requirements, includes Assets from the bank's balance sheet, plus certain off-balance sheet items (primarily unfunded loan commitments), allocated by risk weight category.

Following are the minimum required ratios to be considered well capitalized under the regulatory framework for prompt corrective action:

Tier 1 Leverage (to Average Assets)	5.00%
Tier 1 Capital (to Risk-Weighted Assets)	6.00%
Total Risk Based (to Risk-Weighted Assets)	10.00%

It is our policy to meet or exceed all standards necessary to be classified as a well-capitalized institution. In order to compensate for the inherent risk in the loan portfolio, Sound Community Bank intends to maintain a target Tier 1 Leverage Ratio of at least 9% and a target Total Risk Based Ratio of at least 12%.

The EVP/Chief Financial Officer reviews these ratios at least quarterly and includes this information in the report to the ALM Committee. Should the ratios approach these guidelines, management will develop a plan for maintaining the ratios above the identified acceptable levels.

Approved: 3/26/2013

33.2 CAPITAL PLANNING

Current and future capital needs are projected and evaluated periodically taking into consideration anticipated asset growth, earnings trends, anticipated cash dividends, asset and liability diversification and maturity, asset quality, general economic conditions, industry comparisons, strategic planning, and legal and regulatory requirements.

As part of the strategic planning process, the EVP/CFO will prepare capital projections. These projections will incorporate the growth and profitability assumptions of the corporate budget. A comparative review will be included, which assesses the adequacy of current capital against regulatory guidelines and the parameters established in the policy. These reports will be updated on a quarterly basis and presented to ALM Committee and/or the full Board.

33.3 CONTINGENCY PLAN

A capital projection and report of capital under stress scenarios will be prepared quarterly by the CFO and presented to ALM Committee and/or the Board of Directors. If it is determined that not enough capital is being generated through earnings to support the projected growth and maintain the established capital ratio targets, the Bank will consider various alternatives to achieve those targets.

In the event that the projections indicate that the Tier 1 Leverage Ratio or the Total Risk Based Ratio may fall below the targets established by the Bank, Management will consider the following actions, as well as others which may be appropriate given the circumstances:

- Slow loan growth
- Sale of certain loans
- Sale of certain securities
- Reduce operating expenses
- Solicit additional capital

It is also the policy of Sound Community Bank to structure real estate secured loans to meet the requirements of the secondary market in the event the Bank elects to sell these loans to provide additional liquidity or to reduce assets in order to meet established capital adequacy guidelines.

In the event that the projections indicate that the Tier 1 Leverage Ratio or the Total Risk Based Ratio may fall below the regulatory guidelines for a Bank to be considered well capitalized under prompt corrective action, Management will consider the actions identified above, the following actions, and any others which may be appropriate given the circumstances:

- Sale of other assets
- Public or private stock offering

Approved: 3/26/2013

- Potential merger/acquisition activity
- Issuance of debt

Approved: 3/26/2013